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Door Dash - MRD

Market Research Document (MRD)

Market Overview

Industry Description: DoorDash operates within the online food and grocery delivery industry, a digitally enabled segment of the broader food service and logistics ecosystem. This industry leverages mobile apps, real-time logistics algorithms, and gig-based courier networks to connect consumers with restaurants, grocery stores, and convenience retailers. Originally focused on restaurant meal delivery, the industry has significantly evolved to include grocery delivery, pharmacy items, alcohol, pet supplies, and other retail essentials, creating a fast-growing quick commerce category. DoorDash, as a platform, plays a dual role, serving as both a consumer marketplace and a logistics provider powering last-mile delivery for a wide range of merchants. This space is characterized by:

- High-volume, low-margin transactions
- Platform-based network effects
- Consumer demand for convenience, speed, and transparency
- Rapid innovation in logistics and customer experience technologies

U.S. Market Size and Growth Trends: The U.S. food delivery market continues to grow steadily. In 2024, combined revenue from restaurant meal delivery and grocery delivery is expected to reach about $450 billion. Meal delivery is projected at $184.5 billion and is forecast to grow at a CAGR of 3.95%, reaching $224.1 billion by 2029. Grocery delivery is expected to generate $266 billion this year and grow 8.68% annually, reaching $403.5 billion by 2029. DoorDash holds the largest share of the U.S. meal delivery market at roughly 67%, with Uber Eats and Grubhub following at 23% and 8%, respectively (see figure 1).

Total Addressable Market (TAM) – Global Context: Globally, online food delivery is projected to generate $1.2 trillion in 2024 and $1.85 trillion by 2029, at a CAGR of 9.04%. Meal delivery accounts for about 35.5% of the market, or $424.5 billion, while grocery delivery contributes around 64.5%, or $770.9 billion.

Consumer Behavior and Demographics: Food delivery has become an option for many U.S. consumers. While early adoption was predominantly urban, use has expanded to suburban and mid-sized markets. Millennials and Gen Z are the most engaged groups, with over 80% of millennials ordering at least once per month. In 2024, the average revenue per user is estimated at $554.10 for meal delivery and $1,860 for grocery delivery. Penetration stands at 26.6% for meal delivery and 40.5% for groceries, leaving room for growth. Convenience, time savings, and discounts through programs like DashPass continue to drive engagement. Users prioritize real-time tracking, fee transparency, and dietary preferences when choosing a platform.

Growth Trends

DoorDash's growth is fueled by diversification and deeper consumer engagement. The platform is expanding beyond traditional meal delivery into grocery, convenience, alcohol, and retail categories, unlocking new revenue streams. Additionally, white-label delivery services (e.g., DoorDash Drive) allow businesses to use DoorDash's logistics without being listed on the app, broadening their B2B footprint.

Subscription adoption is also accelerating. DashPass, DoorDash's membership program, encourages loyalty with free delivery and reduced fees, boosting order frequency and customer retention. Scheduled orders and group ordering features cater to family and corporate use cases, expanding use beyond spontaneous meals.

As ordering becomes habitual, DoorDash is integrating into new channels such as smart TVs, car dashboards, and voice assistants, meeting users wherever they are. These innovations are helping the platform grow its user base and order volume even in a post-pandemic market.

External Factors

- **Economic**: Inflation affects spending and driver availability.
- **Regulatory**: Gig worker laws may raise operating costs.
- **Technological**: 5G and mobile payments enhance delivery experience.
- **Social/Environmental**: Push for sustainability and fair labor practices.

Market Segmentation

Customer Type: Individuals (solo orders), families (larger meals or groceries), corporate clients (group/catering needs)
Usage Frequency: Occasional users (1–2x/month), frequent users (3–5x/week, often DashPass), planners (weekly grocery/scheduled orders)
Geography: Urban (high density, fast delivery), suburban (rising grocery use), rural (limited access)
Demographics: Millennials/Gen Z (core users), Gen X/Boomers (growing in grocery), students/professionals (deal-driven, mobile-first)
Product Need: On-demand meals, scheduled grocery delivery, quick commerce (snacks, pharmacy, convenience items)
Platform/Channel: Mobile apps (dominant for frequent users), website (planned and bulk orders), tablet (niche/shared use)

Competitive Analysis

DoorDash faces competition from both direct competitors (e.g. Uber Eats and Grubhub) as well as indirect competitors. In the realm of restaurants, DoorDash faces competition from companies like ChowNow as well as restaurants' own delivery services that cut out the third-party app. There is also competition from meal kit delivery services like HelloFresh and Blue Apron that could cut into their revenue. Finally, the line is becoming increasingly blurred between companies like DoorDash and Uber Eats that have primarily focused on delivering meals and companies like Instacart and Gopuff that have historically focused more on groceries, drinks, and snacks.

When focusing on the direct competitors, there are key differentiating factors that set them apart. DoorDash has, in part, been so successful due to their broad market penetration that spans over 18,000 North American cities. Uber Eats leverages their large Uber user base and offers integration with their ride-sharing service to incentivize use. Uber Eats is particularly strong in metropolitan areas. Finally, Grubhub historically focused on variety and choice but has not been able to keep up with the competitors in space.

As the largest competitors in space DoorDash and Uber Eats both offer paid plans that provide perks such as $0 delivery fees and savings on Uber for Uber Eats. Both companies provide their plans for $9.99/month or $96/year creating no pricing differentiation.

Product, Product Category, and Trends

The food delivery industry has experienced massive expansion (especially during the Covid-19 pandemic), with DoorDash emerging as the market leader, holding a double-digit market advantage over competitors like Uber Eats and Grubhub since 20201. As of 2024, DoorDash commands over 60% market share in the U.S., a significant increase from 9% in 2017. The

company's adoption rate has skyrocketed since Covid, with users growing from 10 million in 2019 to 42 million in 2024. Quarterly orders have risen from 400 million in 2022 to 700 million in 2024.

Financially, DoorDash has demonstrated strong performance, with revenue reaching $10.72 billion in 2024, a 24% increase from 2023. The company reported its first annual profit of $117 million in 2024. Its revenue model is driven by delivery fees, service charges, and DashPass, a subscription service with 22 million members. Additionally, merchant advertising serves as a key revenue stream, contributing to DoorDash's sustained growth.

Recent Innovations & Technological Advancements

The food and grocery delivery industry are evolving very fast in the US. Constant movement is required to stay ahead. DoorDash has done a great job of embracing new technology.

- **AI personalization and pricing:** AI-powered pricing recs. The platform adjusts based on previous orders, demand, and even weather conditions.
- **Autonomous delivery:** Self-driving cars and delivery bots are being rolled out in some markets with the goal of cutting costs.
- **Expanding beyond restaurants:** The launch of DoorDash Drive lets businesses use its delivery network, while DashMart has created an on-demand convenience store model like Puff. APIs also enable merchants to use DoorDash as a logistics provider.
- **Smarter order tracking:** Live tracking is more precise; order batching ensures efficiency without sacrificing food quality.
- **Sustainability efforts:** DoorDash has rolled out electric vehicle incentives etc., sustainable packaging, and carbon offset programs.
- **Seamless integrations:** Making ordering food easier than ever. Building delivery into TVs, cars, and voice assistants.

Key Metrics Used and Industry Comparison

In the food delivery industry, there's a few figures that seem to carry a little more weight. Those being market share, user retention, and speed. The name of the game is high volume, low margin business where efficiency is everything.

Metric	What It Means	DoorDash	Uber Eats	Grubhub
Market Share	Percentage of U.S. food delivery controlled.	67% (Leader)	23%	8%
Monthly Active Users (MAUs)	Number of people using the platform each month.	42M	32M	14M
Order Volume	Total number of orders placed quarterly.	700M+	450M	180M
Revenue Growth Rate (YoY)	Year-over-year revenue increase.	24%	19%	6%
Average Revenue Per User (ARPU)	How much the average customer spends annually.	$554 (meals), $1,860 (groceries)	$485	$412
Customer Retention Rate	Percentage of users who keep coming back.	80% (Boosted by DashPass)	75%	65%
Delivery Speed	Average time from restaurant to customer.	~30 min	~32 min	~38 min
Subscription Memberships	Paying members enrolled in premium plans.	22M (DashPass)	15M (Uber One)	5M (Grubhub+)
Profitability	Whether the company is making money.	$117M profit (2024)	Fluctuates	Operating at a loss

Appendix

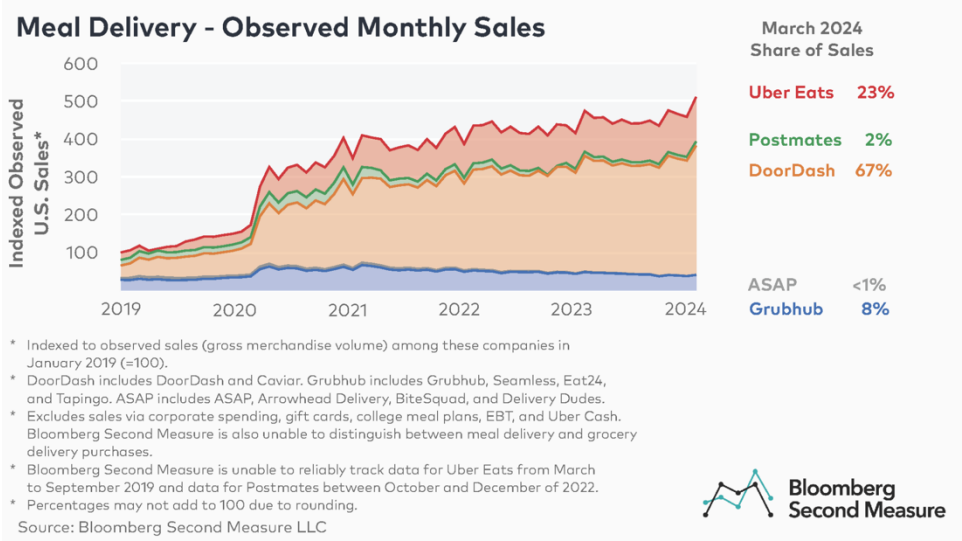

Figure 1: Meal Delivery Sales

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